With the help of one–way free trade predominance of British, Indian manufacturing industries were destroyed. The effect of this wholesale destruction of the Indian manufacturing industries, led to the ruin of the millions of artisans and craftsman. There was a sudden collapse of the urban handicrafts industry which had for centuries made India's name in the markets of the entire civilised world.

Towns and cities long famed for their specialized products gazed continually shrinking market. As a result, old populous manufacturing towns such as Dacca, Murshidabad, Surat and Lucknow lost their previous importance. The entire industrial structure crashed down under stiff competition of imported goods.

The traditional industrial base of Indian cities, made by the indigenous handicraft production was destroyed by Industrial revolution. The high import duties and other restrictions imposed on the import of Indian goods into Britain and Europe led to the decline of Indian industries. Thus, India became the agricultural colony of Britain.

II. De-urbanisation

The transformation of India's economy into a colonial one – a market for the manufactures and source for the supply of the raw materials to her industries hit hard the industrial and commercial base of a number of towns.

The gradual erosion of king's power led to the demise of towns associated with their rule. Agra once an imperial city in the first quarter of 19th century was surrounded by extensive ruins all around. The native rulers lost their kingdom to the British by means of various policies of the colonial power.

Another factor which contributed to the decline of the urban centres of the pre-British period was the introduction of the network of railroads in India since 1853. The introduction of the railways resulted in the diversion of trade routes and every railway station became a point of export of raw materials. The railways enabled British manufactures to reach every nook and corner of the country and uprooted the traditional industries in the villages of the country.

III. The Growth of New Urban Centres

British developed new centres of trade like Calcutta, Madras and Bombay on the eastern and western coastal areas. Madras (1639) Bombay (1661) and Calcutta (1690), cities which the British largely created and fortified. All those were earlier fishing and weaving villages. Here they built their homes, shops and churches as well as their commercial and administrative headquarters.

From the mid-eighteenth century, there was a new phase of change. As the British gradually acquired political control after the Battle of Plassey in 1757, and the trade of English East India company expanded.

A new trend of urbanisation began in the latter half of the nineteenth century as a result of the opening of Suez Canal, introduction of steam navigation, construction of railways, canals, harbours, growth of factory industries, coal mining, tea plantation, banking, shipping and insurance. Changes in the networks of trade were reflected in the development of urban centres.

An urban area is one that has a high population density engaged in occupations other than food production, living in a highly built environment.

a. Port cities

The British arrived in India for trading. Madras, Calcutta and Bombay became the important ports. They played important role in trade. These cities became the prominent commercial areas with tall European – styled buildings. The English East India Company built its factories and fortified them for the protection for their settlement. Fort St. George in Madras and Fort William in Calcutta were the best examples.

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